

BENCHMARK™ INTERNATIONAL

MANAGED IT & CLOUD SERVICES | CYBERSECURITY | TELECOM & UCAAS | SYSTEMS INTEGRATION | ELECTRONICS & HARDWARE | GOVERNMENT TECHNOLOGY

TECHNOLOGY

Q4 2026 M&A Sector Report

OCTOBER 2026 - JARED HARDIN | MANAGING DIRECTOR | BENCHMARK INTERNATIONAL

The quarter in brief

Technology services enter the fourth quarter of 2026 with demand set by the build-out of artificial intelligence infrastructure and with acquirers paying most readily for contracted, recurring revenue. Gartner expects worldwide IT spending to reach $6.37 trillion this year, 14.2% above 2025, with data center systems up 62.5% and IT services up 5.3% (Gartner, July 27, 2026). Buyers announced 64 acquisitions of managed service providers in the first quarter, 73% more than a year earlier, and outside investors led four of every five (Omdia). Financing became more expensive after the Federal Reserve raised its target range in September, which favors sellers whose earnings are documented and whose customers are under contract.

$6.37T
Forecast worldwide IT spending in 2026, up 14.2% on 2025

64
Managed service provider acquisitions announced in the first quarter, up 73%

1.39
North American EMS book-to-bill ratio, three months to August

7.0x
Average EBITDA multiple in completed middle-market transactions, Q2 2026

THE SIX FOCUS AREAS AT THE START OF THE QUARTER

FOCUS AREA	WHERE THE MARKET STANDS	WHO IS BUYING	BENCHMARK INTERNATIONAL, TRAILING 24 MONTHS
Managed IT & Cloud Services	Managed service providers grew revenue 9.6% and adjusted EBITDA 17.1% in 2025; cloud infrastructure spending rose 43% in the second quarter of 2026	Evergreen Services Group, The 20 MSP, Integris, Thrive, CompassMSP and Magna5 among consolidators; ePlus and Cognizant among public buyers	1 closed, 11 live
Cybersecurity	Reported cybercrime losses reached $20.9 billion in 2025; the Department of War suspended the third-party certification phase of CMMC in July 2026	LevelBlue, CyberMaxx, A-LIGN and Accenture in services; Palo Alto Networks, Google and ServiceNow in software	0 closed, 3 live
Telecom & UCaaS	RingCentral, Zoom and 8x8 are each growing revenue about 5%; AT&T plans to retire most of its copper outside California by the end of 2029; all 50 state broadband plans are approved	Verizon, AT&T and T-Mobile with KKR and EQT in fiber; Point Broadband, Ezee Fiber, Vero Fiber, Rightfiber and TDS Telecom regionally; AppDirect in the channel	1 closed, 3 live
Systems Integration	Data center systems spending is forecast to rise 62.5% in 2026; professional audiovisual revenue is forecast to grow from $332 billion in 2025 to $402 billion in 2030	Pavion, Convergint, Everon, Securitas Technology and Knox Lane in security; 26North in audiovisual; Myriad360, ePlus and Net at Work in IT	4 closed, 11 live
Electronics & Hardware	North American EMS bookings rose 53.5% in August while shipments rose 1.0%; Section 301 duties replaced the expired 10% import surcharge on July 24	Jabil, Sanmina and Flex among public manufacturers; Transom Capital, Tide Rock, Align Capital Partners and Arcline among sponsors	5 closed, 6 live
Government Technology	The fiscal 2027 budget requests $75.7 billion for civilian IT against $67.9 billion in 2026; a continuing resolution funds the government through December 11	Leidos, Booz Allen, Parsons and SAIC; sponsor-backed ERT, Xpect Solutions, B&A and Detroit Defense	2 closed, 4 live

Deal market: value is concentrated in large transactions and add-ons carry the volume

Global mergers and acquisitions reached $3.9 trillion in the first nine months of 2026, 28% above the same period of 2025 and the highest nine-month total since 2001, while the number of transactions fell 8% (LSEG data reported by Reuters). Technology was the largest sector in the first half at $649 billion (Reuters, July 1, 2026). The third quarter was the slowest of the year at $993 billion, 41% below the second quarter, as borrowing costs rose. Add-on acquisitions by sponsor-backed platforms made up roughly three-quarters of all US buyouts in the second quarter (PitchBook, Q2 2026 US PE Breakdown), and those smaller purchases are the transactions in which most founder-owned technology companies take part.

DEAL MARKET, FINANCING AND DEMAND

DEAL INDICATOR	LATEST READING	PERIOD	SOURCE
US private equity deal activity	2,384 transactions worth $177.3 billion, with value 37.5% below the prior quarter	Q2 2026	PitchBook
Companies held by US private equity	13,509, with a median holding period of 4.2 years for companies sold in 2026	Q2 2026	PitchBook
Managed service provider acquisitions	64 worldwide, up 73%, with outside investors leading 80% of them; 37 in North America, up 28%	Q1 2026	Omdia; Channel Dive
Cybersecurity transactions announced	37 in June, 21 in July and 33 in August	Jun to Aug 2026	SecurityWeek
Average purchase price, completed middle-market transactions in all industries	7.0x trailing adjusted EBITDA against 7.3x in the first quarter, with senior debt priced at 7.8%	Q2 2026	GF Data via ACG
Multiple paid in transactions of $5 million to $50 million in all industries	5.8x EBITDA, the highest since the first quarter of 2022; 87% of sales above $5 million drew three or more offers	Q2 2026	IBBA and M&A Source Market Pulse; release

Financing became more expensive during the third quarter. The Federal Reserve raised its target range by a quarter point to 3.75% to 4.00% on September 16 (Federal Reserve), the 10-year Treasury yielded 5.24% on October 1 (US Treasury), and a small sample of recent buyout loans from direct lenders priced at an average of 509 basis points over the benchmark rate, against 474 in the first quarter (PitchBook). Lenders also reduced leverage, and total debt on platform acquisitions in the GF Data sample fell to 2.9x EBITDA from 3.4x (GF Data via ACG). Buyers respond to costlier debt by favoring companies whose cash flow is under contract.

"M&A activity stayed robust, driven by sector consolidation and continued strong interest from financial investors."

Houlihan Lokey, December 2025 IT Services Market Update

Demand: artificial intelligence infrastructure is setting the pace

Gartner's July forecast puts worldwide IT spending at $6.37 trillion in 2026, with data center systems rising 62.5% to $822 billion, software rising 15.5% and IT services rising 5.3% to $1.57 trillion (Gartner). Cloud infrastructure services revenue reached $143.4 billion in the second quarter, 43% above the prior year (Synergy Research Group), with Amazon Web Services growing 37% (Amazon) and Microsoft Azure growing 43% (Microsoft). Amazon, Alphabet, Meta and Microsoft have guided to a combined $735 billion to $750 billion of capital spending this year (Platformonomics compilation of company guidance). Traditional outsourcing is moving the other way: managed services contract value in the Americas fell 12% in the second quarter while infrastructure-as-a-service contract value rose 86% (ISG Index).

POLICY, TRADE AND TAX

Tariffs moved to a new legal footing in July and the defense cybersecurity mandate is paused

ITEM	STATUS IN OCTOBER 2026	SOURCE
Import tariffs	Section 301 duties took effect on July 24, 2026, in place of the expired 10% Section 122 surcharge, at 10% for Canada, Mexico, the United Kingdom and India and 12.5% for China and Vietnam; semiconductors and certain semiconductor manufacturing equipment are exempt	Wiley Rein, July 27, 2026; A&A Customs Brokers
Semiconductor tariffs	A 25% Section 232 tariff has applied to specified advanced computing chips since January 2026, with exemptions that include chips destined for US data centers	Snell & Wilmer
CMMC for defense suppliers	Phase 1 self-assessments have applied since November 10, 2025; the Department of War suspended Phase 2, the move to third-party certification, on July 13, 2026, and set up a reform task force	DoD Chief Information Officer; McGuireWoods
Federal funding	A continuing resolution signed on September 2 funds the government through December 11, 2026; the fiscal 2027 request holds $75.7 billion for civilian IT	SpacePolicyOnline; FedScoop
SBA 8(a) program	A final rule effective September 10, 2026, removes the presumption of social disadvantage for individually owned applicants; firms owned by tribes and Alaska Native corporations are exempt	Federal Register
Copper retirement	The FCC streamlined its copper retirement rules in March 2026; AT&T plans to retire most of its copper outside California by the end of 2029	Telecompetitor; Broadband Breakfast
Rural broadband funding	All 50 state plans under the $42.45 billion BEAD program are approved and the program is moving into construction	Broadband Breakfast; NTIA

Tax: rates are unchanged and several provisions favor sellers

Federal tax law is settled for an owner planning a closing in late 2026 or 2027. The top rate on long-term capital gains remains 20% (Tax Foundation), with the 3.8% net investment income tax applying above $250,000 of income for joint filers (IRS), and the estate and gift exemption stands at $15 million per person. The 2025 tax act also made 100% bonus depreciation permanent and restored immediate deduction of domestic research costs (Alston & Bird), both of which raise after-tax cash flow for electronics manufacturers and software-heavy service firms. For C corporation stock issued after July 4, 2025, the qualified small business stock exclusion now phases in at 50% after three years, 75% after four and 100% after five, with the cap raised to $15 million and the gross asset limit to $75 million (Cooley).

Trade policy bears most directly on hardware. Manufacturers and integrators that import components should expect buyers to ask for landed cost by country of origin and for the contract terms that pass duty changes through to customers.

MANAGED IT & CLOUD SERVICES

Consolidators are buying recurring revenue and the strongest providers are earning record margins

9.6%
Revenue growth at managed service providers in 2025, with adjusted EBITDA up 17.1%

64
Managed service provider acquisitions announced worldwide in the first quarter of 2026

19%+
Adjusted EBITDA margin at best-in-class IT solution providers for a sixth consecutive year



Managed service providers came into 2026 with their strongest operating results in several years. Revenue grew 9.6% in 2025 against 7.1% in 2024 and adjusted EBITDA grew 17.1%. Best-in-class providers earned adjusted EBITDA margins above 19% for a sixth consecutive year, and the enterprise value of the average IT solution provider rose about 15% (ConnectWise Service Leadership Index, June 23, 2026).

Growth is harder to find at the level of the individual provider. In Kaseya's survey of more than 1,000 providers, 71% named winning new customers as their main challenge, 24% reported clients cutting IT budgets, and 16% reported difficulty hiring technicians against 9% a year earlier. Almost half ranked artificial intelligence and automation as their clients' leading need, yet only 13% earn meaningful revenue from them (Kaseya 2026 State of the MSP Report).

Cloud demand continues to widen the work available. Cloud infrastructure services revenue rose 43% in the second quarter (Synergy Research Group) and Microsoft reported more than 30 million paid seats of Microsoft 365 Copilot (Microsoft). Vendor licensing changes are also moving customers, and 11:11 Systems bought Ntirety as Broadcom's changes to its VMware partner program reshape how providers operate (ChannelE2E).

> *"A shift in valuations is visible, as providers with higher shares of managed services achieve superior multiples compared to traditional value-added resellers (VARs)."*
>
> Houlihan Lokey, December 2025 IT Services Market Update

Acquirers announced 64 managed service provider deals worldwide in the first quarter of 2026 against 169 in all of 2025, and outside investors led 80%. Evergreen Services Group alone completed 47 acquisitions in 2025 (Omdia). The 20 MSP of Plano, Texas, reached its 49th acquisition in July 2026 (ChannelE2E) and buys providers with $1 million to $5 million of revenue using operating cash flow and bank debt (Omdia).

Sponsors are also trading the platforms themselves. AEA Investors bought a majority of Magna5 from NewSpring Holdings in February 2026 (PrivSource), Berkshire Partners invested in Thrive alongside Court Square in January 2025 (PrivSource), and Park Place Technologies completed its merger with Service Express to form a data center services business with $1.2 billion of annual revenue (Park Place Technologies).

Public companies are buying as well. Cognizant completed its purchase of Astreya in June 2026 and ePlus bought the assets of Daymark Solutions in August (Cognizant; Channel Insider).

MANAGED IT & CLOUD SERVICES: ANNOUNCED TRANSACTIONS

Platforms, sponsors and public companies are all buying

Prices for managed service providers are almost never published, so the pattern of who is buying is the most useful public evidence. The transactions below show three kinds of acquirer at work: sponsor-backed platforms adding regional providers, sponsors buying the platforms from one another, and public companies buying capacity in cloud and artificial intelligence infrastructure operations.

DATE	TARGET (LINKED)	BUYER	DETAIL AND TERMS DISCLOSED
Aug 2026	Daymark Solutions (assets)	ePlus	Microsoft cloud solution provider in New England; undisclosed
Jul 2026	Sundance Networks	The 20 MSP	Managed IT and security for customers in New Mexico, Philadelphia and New York; the buyer's 49th acquisition
Jun 2026	Astreya	Cognizant	Managed IT services with about 2,600 employees; reported at approximately $600 million (Coverager)
Mar 2026	phoenixNAP Phoenix data center and colocation business	RadiusDC	Colocation facility and campus development rights; announced, closing expected in the second quarter
Feb 2026	OnPar Technologies	Net at Work	Managed service provider; undisclosed
Feb 2026	Magna5	AEA Investors	Majority investment in a Pennsylvania managed IT and security platform; seller NewSpring Holdings
Feb 2026	Verinext	Arctiq, backed by Gallant Capital Partners	Managed services, hybrid infrastructure, networking and security; undisclosed
Jan 2026	Ntirety	11:11 Systems	VMware-focused managed and professional services; undisclosed
Jan 2026	Service Express	Park Place Technologies	Merger forming a data center services business with $1.2 billion of annual revenue
Jul 2025	Baroan Technologies	Thrive, backed by Berkshire Partners and Court Square	Managed service provider in northern New Jersey; undisclosed
Jun 2025	TechMD and 1nteger Security	Integris, backed by OMERS Private Equity	Northeast managed service provider founded in 1986; undisclosed
Mar 2025	Element Technologies	New Charter Technologies, backed by Oval Partners	Cybersecurity, automation and document management for the legal sector; undisclosed

The published benchmarks point in one direction. Best-in-class providers reached record valuations in 2025 according to the Service Leadership Index (ConnectWise), and acquirers in this focus area pay the most for a high share of revenue under managed service agreements, security services attached to those agreements, low customer concentration and a service desk that runs without the owner.

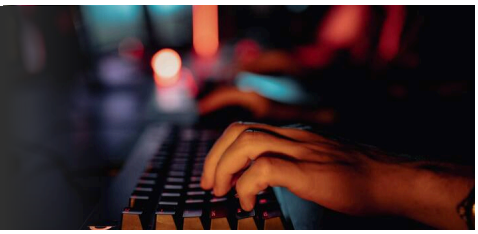
CYBERSECURITY

Losses and staffing shortages are moving security budgets to outside providers

$20.9B
Cybercrime losses reported to the FBI in 2025, up 26% on 2024

$240B
Forecast worldwide information security spending in 2026, up 12.5%

48%
Share of breaches that involved a third party, up from 30% a year earlier



Spending on security is growing faster than IT services as a whole. Gartner forecasts worldwide information security spending of $240 billion in 2026, 12.5% above 2025 (Gartner), against 5.3% growth for IT services (Gartner).

The loss data explain the budgets. The FBI received more than one million complaints in 2025 with reported losses of $20.9 billion, 26% more than in 2024 (FBI Internet Crime Complaint Center). Verizon found ransomware present in 48% of breaches and a third party involved in 48%, up from 30% (Verizon 2026 DBIR via TechRepublic), and IBM put the average cost of a breach in the United States at $11.5 million (IBM via eSecurity Planet).

Staffing shortages push that spending toward outside providers. In the ISC2 workforce study, 59% of respondents described the skills gaps on their teams as critical or significant, against 44% a year earlier (ISC2 via SecurityInfoWatch). Acquisitions of managed security providers rose to 22% of all managed service provider transactions in the first quarter (Omdia).

"After a Q1 marked by moderating deal value and no transactions over $1 billion, Q2 saw a clear return of megadeals on both the M&A and financing sides of the market."

Houlihan Lokey, Q2 2026 Cybersecurity Quarterly Update

Ransomware remains the costliest event for smaller organizations. Sophos found a median ransom payment of $769,000 and an average recovery cost of $1.7 million among organizations hit in the past year (Sophos State of Ransomware 2026), and the insurer Coalition reported that business email compromise and funds transfer fraud together made up 58% of the incidents in its 2025 claims (Coalition via Insurance-Canada).

Regulation is a less dependable driver than it appeared a year ago. The Department of War suspended the third-party certification phase of CMMC on July 13, 2026, leaving self-assessment against NIST 800-171 in force while a task force reviews the program (DoD Chief Information Officer). The final update to the HIPAA Security Rule has moved to 2027 at the earliest (Paubox), and CISA has yet to publish its final incident reporting rule for critical infrastructure (CISA).

Consolidation among service providers continued through the third quarter. LevelBlue, whose investors include SoftBank and Liberty Strategic Capital, completed its purchases of Trustwave and Cybereason in 2025 (LevelBlue), CyberMaxx acquired Avertium in September 2026 (MSSP Alert), and Accenture agreed in June to buy a majority of the industrial security firm Dragos and all of two smaller companies for a combined $4.175 billion (SecurityWeek).

CYBERSECURITY: ANNOUNCED TRANSACTIONS

Software commands the highest prices while services firms trade most often

Software sets the headline prices in cybersecurity. The largest transactions in the table below were purchases of security software companies by Google, Palo Alto Networks and ServiceNow, while most of the managed security, consulting and compliance firms listed changed hands at undisclosed prices. SecurityWeek counted 33 cybersecurity transactions in August 2026 alone (SecurityWeek).

DATE	TARGET (LINKED)	BUYER	DETAIL AND TERMS DISCLOSED
Sep 2026	Avertium	CyberMaxx	Managed security, Microsoft security services and compliance advisory; undisclosed
Sep 2026	AssurePoint	A-LIGN	Cloud security assessments in Australia; undisclosed
Aug 2026	At-Bay	Munich Re	Cyber insurer with managed detection services; $575 million
Aug 2026	CyberCatch	Datavault AI	Continuous compliance software; $94.5 million
Jul 2026	MDSec Consulting	Bank of America	UK information security consultancy with about 65 professionals; undisclosed
Jul 2026	Evo Security	Barracuda Networks	Identity and access software for managed service providers; undisclosed
Jun 2026	Dragos (majority), with runZero and NetRise	Accenture	Industrial and asset security; $4.175 billion combined
Apr 2026	Armis	ServiceNow	Asset visibility and exposure management software; $7.75 billion in cash
Mar 2026	Wiz	Google	Cloud security software; $32 billion
Feb 2026	CyberArk	Palo Alto Networks	Identity security software; $25 billion in cash and stock
Dec 2025	Hornetsecurity	Proofpoint	Microsoft 365 security sold through more than 12,000 managed service providers; $1.8 billion
Nov 2025	Cybereason	LevelBlue	Managed detection and incident response; undisclosed
Aug 2025	Trustwave	LevelBlue	Managed security services; undisclosed
Feb 2025	Secureworks	Sophos, backed by Thoma Bravo	Managed detection and response; about $859 million, or $8.50 a share

One disclosed price is directly relevant to providers that sell through the channel. Proofpoint paid $1.8 billion for Hornetsecurity, whose annual recurring revenue was nearly $200 million and growing 20%, a price of about nine times recurring revenue by our calculation (SecurityWeek). Services firms trade on EBITDA and at lower prices than software, and buyers pay most for monitoring and response revenue under multi-year contracts, cleared and certified staff, and a customer base in regulated industries.

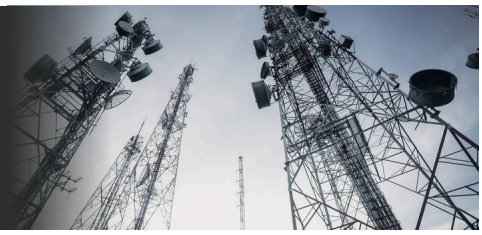
TELECOM & UCAAS

Infrastructure investors are buying fiber while cloud voice grows about 5% a year

5.9%
Revenue growth at RingCentral in the second quarter of 2026

26M
Microsoft Teams Phone users with public network calling, up 30% in 20 months

$16.6B
Billings through technology services distributors in 2024, up 14.5%



Cloud voice has become a steady, mid-single-digit growth business. RingCentral grew revenue 5.9% to $657 million in the second quarter (RingCentral), Zoom grew 4.9% with enterprise revenue up 7.8% (Zoom), and 8x8 grew 5% (8x8). Microsoft's Teams Phone passed 26 million users with public network calling in late 2025 (UC Today).

Growth for the vendors now comes from artificial intelligence features sold to existing customers. RingCentral reported that 13% of its recurring revenue comes from customers using a paid AI product, double the share a year earlier (RingCentral). For resellers and regional providers the consequence is that customer relationships and support quality carry the value, since the underlying platforms are increasingly alike.

Most business communications services reach customers through advisors. Billings through technology services distributors reached $16.6 billion in 2024, up 14.5%, and the six largest distributors hold 72.3% of the channel (Omdia). The four largest have each taken institutional investment, and Avant announced a recapitalization with Pamlico Capital and Court Square in late 2025 (Channel Dive).

> *"Consolidation is accelerating as sponsors pursue scale benefits, network densification, and operational synergies amid heightened investor focus on return thresholds and free cash flow generation."*
>
> Houlihan Lokey, Q1 2026 Digital Infrastructure Industry Update, on fiber broadband

The retirement of copper lines is creating replacement demand. The FCC voted unanimously in March 2026 to remove filing requirements from the copper retirement process (Telecompetitor), and AT&T, which plans to retire most of its copper outside California by the end of 2029, received approval to discontinue service across more than 30% of that footprint (Broadband Breakfast). Every analog line that carries an alarm panel, elevator phone or fax machine needs a replacement service.

Fiber has drawn the largest sums. Verizon completed its roughly $20 billion purchase of Frontier in January 2026 (Converge Digest), AT&T paid $5.75 billion for Lumen's consumer fiber business (Fierce Network), and Charter closed its $34.5 billion purchase of Cox in August (Light Reading). With all 50 state plans under the federal BEAD program approved, rural construction funding is moving from planning to building (Broadband Breakfast).

TELECOM & UCAAS: ANNOUNCED TRANSACTIONS

National carriers closed large network purchases and funds are assembling regional platforms

Regional fiber and broadband providers are being bought by platforms backed by infrastructure and private equity funds, and the national carriers have completed several large network purchases. Among business communications providers, the buyers are distributors and platforms adding service capability.

DATE	TARGET (LINKED)	BUYER	DETAIL AND TERMS DISCLOSED
Oct 2026	Fastwyre Broadband, Nebraska business	Rightfiber, a Grain Management company	Broadband in 26 communities; undisclosed
Oct 2026	MontanaSky	Vero Fiber (merger)	Internet provider in northwest Montana founded in 1993; undisclosed
Sep 2026	Granite State Communications	TDS Telecom	Fiber and voice provider in New Hampshire with 11,000 service addresses; undisclosed
Sep 2026	CCI Network Services	AppDirect	Telecom provider forming a unified communications and customer experience practice; undisclosed
Aug 2026	Cox Communications	Charter Communications	$34.5 billion
May 2026	Crown Castle fiber and small cell businesses	Zayo and Arium Networks, an EQT company	Fiber to Zayo and small cells to Arium; $8.5 billion combined
Mar 2026	GFiber and Astound (merger)	Stonepeak, with Alphabet retaining a minority	7.1 million combined locations; announced, closing expected in the fourth quarter
Feb 2026	Lumen consumer fiber business	AT&T	$5.75 billion for more than 4 million fiber locations and more than 1 million subscribers
Jan 2026	Frontier Communications	Verizon	About $20 billion including assumed debt
Jan 2026	Mega Broadband Investments, remaining 55%	Cable One	$475 million to $495 million; about 675,000 locations passed; closing expected in October 2026
Jan 2026	Clearwave Fiber	Point Broadband, backed by GTCR and Berkshire Partners	Combination passing more than 500,000 locations in 12 states; announced
Sep 2025	Tachus Fiber Internet	Ezee Fiber, backed by I Squared Capital	Fiber provider in greater Houston; undisclosed
Jul 2025	Metronet	KKR and T-Mobile joint venture	Fiber to 2.6 million homes and businesses in 19 states; undisclosed

Fiber networks are priced on the locations they pass and the share of those locations that subscribe. AT&T's purchase from Lumen works out to roughly $1,400 for each location passed, on a network where about one location in four takes service, a calculation from the figures in the announcement (Fierce Network). A regional provider with higher take rates, long-term contracts with schools, hospitals and businesses, and a funded construction plan will be valued on those merits.

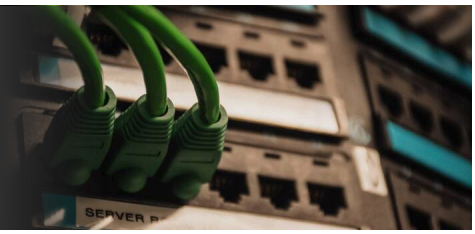
SYSTEMS INTEGRATION

Data center construction and security upgrades are filling integrator backlogs

62.5%
Forecast growth in worldwide data center systems spending in 2026

$81.5B
US data center construction starts in the first half of 2026, above all of 2025

$402B
Forecast professional audiovisual revenue in 2030, from $332 billion in 2025



Data center construction is the fastest-growing source of work for integrators. Gartner expects spending on data center systems to rise 62.5% to $822 billion in 2026 (Gartner), and Dell'Oro Group has raised its outlook for worldwide data center capital spending above $1 trillion (Dell'Oro Group). In the United States, data center construction starts totaled $81.5 billion in the first six months of the year against $72.5 billion in all of 2025 (ConstructConnect).

That work reaches cabling, low-voltage, security and network integrators as well as electrical contractors. Census figures show office construction, the category that includes data centers, running 24.6% above a year earlier in August while total construction spending was 1.7% lower (US Census Bureau).

Outsourcing contracts show the same pull. Infrastructure-as-a-service contract value in the Americas rose 86% in the second quarter while traditional managed services contract value fell 12% (ISG Index).

Audiovisual integration is growing more slowly. AVIXA forecasts professional audiovisual revenue of $402 billion in 2030 against $332 billion in 2025 (AVIXA via Commercial Integrator), a 3.9% annual rate that it lowered from 5.3% on tariffs and high interest rates (AV Network). 26North agreed in June 2025 to buy control of AVI-SPL, a global integrator with more than 4,400 employees, from Marlin Equity Partners (rAVe).

> *"Buyers prioritized platforms offering recurring, contract-backed service revenue and geographically dense technician networks, which effectively insulate platforms from macroeconomic headwinds and wage inflation."*
>
> Houlihan Lokey, Q2 2026 Security and Safety Solutions Market Update

Security integration is the most active part of the focus area. In the Security Industry Association's June survey, 80% of professionals rated business conditions good or excellent (Security Industry Association). Pavion, backed by Wind Point Partners, bought Communication Company in September 2026 (Pavion), Knox Lane took a majority of SAGE Integration (SDM Magazine), and Everon acquired Scarsdale Security Systems (SDM Magazine).

Among IT integrators, buyers are assembling scale in infrastructure and adding certified practices in enterprise software. Myriad360 bought Advizex to form a business with more than $900 million of run-rate gross revenue (Channel Insider), and recent purchases have targeted partners for Workday, ServiceNow and Sage Intacct (Channel Insider, April 2026; January 2026).

SYSTEMS INTEGRATION: ANNOUNCED TRANSACTIONS

Sponsor-backed platforms are the most frequent buyers of integrators

Security and life-safety integrators account for most of the transactions below, and their buyers include private equity firms and the platforms they own. Houlihan Lokey counted 83 completed safety and security transactions worth nearly $6.0 billion in the second quarter of 2026, up from 72 worth $2.9 billion in the first (Houlihan Lokey).

DATE	TARGET (LINKED)	BUYER	DETAIL AND TERMS DISCLOSED
Oct 2026	Sonitrol of El Paso	Securitas Technology	Regional electronic security firm; undisclosed
Sep 2026	SAGE Integration	Knox Lane	Majority investment in a national security systems integrator; undisclosed
Sep 2026	Communication Company	Pavion, backed by Wind Point Partners	Midwest life-safety, security, audiovisual and communications integrator founded in 1976; undisclosed
Aug 2026	Scarsdale Security Systems	Everon	Commercial security and fire, Scarsdale, New York; about 100 employees; undisclosed
Aug 2026	Bangert	Sage	Implementation partner for Sage Intacct Construction; undisclosed
Apr 2026	Intecrowd	UST	Workday implementation partner; undisclosed
Feb 2026	Advizex Technologies	Myriad360	Enterprise infrastructure and managed services; combined run-rate gross revenue above $900 million
Dec 2025	Coastal Cloud	Tata Consultancy Services	Salesforce consultancy sold by Sverica Capital and its founders; $700 million; agreed
Jun 2025	AVI-SPL (controlling interest)	26North Partners	Audiovisual and collaboration integrator with more than 4,400 employees; Marlin Equity Partners keeps a minority stake; undisclosed
May 2025	Fiber Solutions	Convergint	Fiber, structured cabling, security and audiovisual integrator, Fort Myers, Florida; undisclosed
Feb 2025	Fire Security & Sound Systems	Sciens Building Solutions	Fire alarm, security, nurse call and sound systems, Latham, New York; undisclosed
Jan 2025	AVCON	AVI Systems	Audiovisual integrator, Cary, North Carolina, founded in 1997; undisclosed

None of these announcements states a price against earnings, which is typical for integrators. The consistent point in buyer commentary is the mix of revenue: service agreements, monitoring and managed services are valued well above installation work, and buyers also weigh technician density in a region, manufacturer certifications and the share of work won from repeat customers.

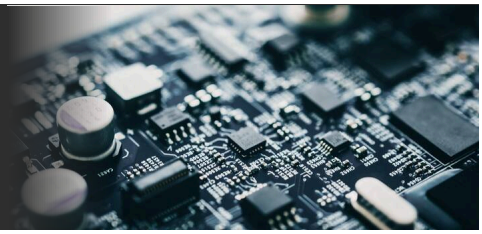
ELECTRONICS & HARDWARE

Order books are filling faster than factories can ship

1.39
Orders booked for each dollar shipped by North American EMS firms in the three months to August 2026

53.5%
Growth in North American EMS bookings in August against a year earlier

1.46
Orders booked for each dollar shipped by North American circuit board makers in July



Orders at North American electronics manufacturers are running well ahead of shipments. Bookings at electronics manufacturing services (EMS) firms were 53.5% above the prior year in August while shipments were 1.0% higher, and the three-month book-to-bill ratio stands at 1.39 (Global Electronics Association, October 1, 2026). Printed circuit board makers reported bookings up 62.0% and shipments up 14.5% in July, a ratio of 1.46 (Global Electronics Association).

Artificial intelligence infrastructure accounts for much of the order growth at the largest contract manufacturers. Jabil grew revenue 21% to $36.0 billion in its fiscal 2026 and guided to $44.5 billion for fiscal 2027 (Jabil). Celestica grew second-quarter revenue 62% and raised its 2026 outlook to $20.5 billion (Celestica), and Sanmina grew revenue about 70% in its June quarter (Sanmina). Worldwide semiconductor sales reached $403.3 billion in the second quarter (Semiconductor Industry Association).

That 1.0% rise in shipments across the wider North American EMS industry is well below the growth of the largest firms (Global Electronics Association). A full order book is valuable to an acquirer when it converts to shipments, so buyers examine component availability, labor and capacity closely.

> *"Buyers continued to prioritize localized manufacturing capacity and exposure to resilient, specification-driven end markets."*
>
> Lincoln International, Q2 2026 EMS Quarterly Review

Acquirers have been buying domestic capacity and specialized capability. Transom Capital agreed to take SigmaTron International private at an enterprise value of about $83 million, a 134% premium to the prior share price (Transom Capital and SigmaTron). Qualitel bought Fusion EMS of Oregon to add to its plants in Washington and Mexicali (Circuits Assembly), and StenTech, backed by Align Capital Partners, made its fifth add-on with Pentagon EMS (StenTech).

Defense and public safety electronics have drawn the highest prices. Motorola Solutions paid $4.4 billion for the communications technology firm Silvus Technologies in 2025 (GovCon Wire) and $1.5 billion for the counter-drone firm D-Fend Solutions in 2026 (GovCon Wire).

Tariffs remain the main planning variable. The Section 301 duties that replaced the import surcharge on July 24 (Wiley Rein) exempt semiconductors and treat finished electronics more narrowly than the surcharge did (A&A Customs Brokers).

ELECTRONICS & HARDWARE: ANNOUNCED TRANSACTIONS AND INDICATORS

Buyers want domestic capacity, certifications and specified engineering content

Acquisitions of contract manufacturers slowed in the second quarter. Lincoln International recorded three EMS transactions in that quarter against eight in the first (Lincoln International). The buyers that are active want domestic or near-shore capacity, certifications for aerospace, defense and medical work, and engineering content that customers specify by name.

DATE	TARGET (LINKED)	BUYER	DETAIL AND TERMS DISCLOSED
Sep 2026	Fusion EMS	Qualitel	EMS provider in Hillsboro, Oregon; undisclosed
Aug 2026	D-Fend Solutions	Motorola Solutions	Counter-drone radio frequency technology; $1.5 billion
Aug 2026	Claros	Navitas Semiconductor	Power delivery technology for AI data centers; up to about $232.8 million; announced
Apr 2026	Pentagon EMS	StenTech, backed by Align Capital Partners	Precision tooling and machining for electronics, aerospace and defense, near Portland, Oregon; undisclosed
2026	Analog Technologies	Tide Rock	EMS provider with aerospace and defense certifications; undisclosed
2026	Plasma Ruggedized Solutions	Novaria Group, backed by Arcline	Coatings and encapsulation for defense, medical and industrial electronics; undisclosed
Aug 2025	Silvus Technologies	Motorola Solutions	Mobile network communications technology for defense and public safety; $4.4 billion
May 2025	SigmaTron International	Transom Capital	Listed EMS provider; $3.02 a share, about $83 million of enterprise value; announced

NORTH AMERICAN EMS, CHANGE ON PRIOR YEAR	JANUARY 2026	JULY 2026	AUGUST 2026
EMS bookings	-3.3%	+44.3%	+53.5%
EMS shipments	+0.1%	-0.3%	+1.0%
EMS book-to-bill ratio, three-month	1.25	1.29	1.39

Source: Global Electronics Association monthly releases for January, July and August 2026. The book-to-bill ratio divides orders booked by shipments billed over three months.

The order data bear on the timing of a sale. Bookings turned from a 3.3% decline in January to growth above 40% in July and August, and a manufacturer that can show that backlog converting to shipments at steady margins presents buyers with visible growth. Buyers discount backlog that depends on one program or one customer, and they look closely at how tariff costs are passed through in customer contracts.

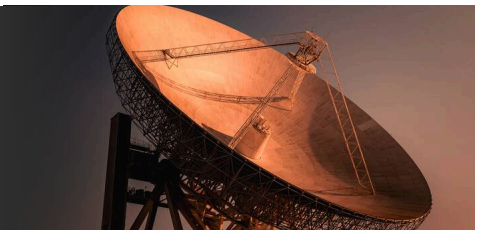
GOVERNMENT TECHNOLOGY

Budgets for cyber, AI and mission software are rising while award timing and procurement rules shift

$75.7B
Civilian agency IT in the fiscal 2027 budget request, up from $67.9 billion

$20.5B
Cyberspace activities in the fiscal 2027 defense budget request

98%
States with an enterprise AI policy in 2026, up from 76% a year earlier



Federal technology budgets are rising. The fiscal 2027 request holds $75.7 billion for civilian agency IT against $67.9 billion in fiscal 2026, led by Veterans Affairs at $12.2 billion and Homeland Security at $11.7 billion (FedScoop). The defense request totals $1.5 trillion, of which $350 billion is mandatory funding, and includes $20.5 billion for cyberspace activities and $58.5 billion for artificial intelligence (Washington Technology).

The timing of that money is less certain. The government is operating under a continuing resolution through December 11 (SpacePolicyOnline), and the Senate Appropriations Committee had reported none of the twelve fiscal 2027 bills when the resolution passed (Akin). New program starts wait for full-year appropriations, which delays awards for contractors of every size.

Results at the large contractors show the effect. Leidos grew revenue 7% in the second quarter and raised the lower end of its guidance (GovCon Wire), and CACI grew 10.9% in its fiscal 2026 (GovCon Wire). Booz Allen's revenue fell 4.2% in its June quarter even as it booked $1.50 of new work for each dollar of revenue (GovCon Wire), and SAIC attributed a book-to-bill ratio of 0.6 to a large recompete that slipped on procurement delays (GovCon Wire).

> *"Defense tech firms have corrected from the valuation highs of Q1, while investors continue to be cautious about the potential AI impact on traditional government services business models, resulting in multiple compression despite healthy earnings and improving forecasts."*
>
> Lincoln International, Q3 2026 Defense Technology & Government Services Report

Procurement rules are changing at the same time. GSA proposed on September 22 to move schedule ordering procedures out of the Federal Acquisition Regulation as part of a wider rewrite (Federal Register), and a final rule effective September 10 removed the presumption of social disadvantage for individually owned 8(a) applicants (Federal Register). A contractor that no longer qualifies as small after a sale cannot receive new set-aside orders under multiple-award contracts (Federal Register), so the buyer's size affects how much revenue carries forward.

State and local governments are a growing second market. Among state chief information officers, 98% now report an enterprise AI policy and 64% expect agentic AI to be the most impactful emerging technology of the next two to three years, while 55% have dedicated funding for citizen digital services (NASCIO survey via StateScoop).

GOVERNMENT TECHNOLOGY: ANNOUNCED TRANSACTIONS

Prime contractors disclose prices and sponsor-backed platforms are the most frequent buyers of founder-owned firms

The large contractors are buying software, cyber and signals capability at disclosed prices, and sponsor-backed platforms are buying founder-owned firms with positions at defense, intelligence and homeland security agencies. Activity has slowed: Raymond James reported that government technology transaction volume fell 68% from the first quarter to the second, with strategic volume 61% below the second quarter of 2025 (Raymond James, Q2 2026 Market Update).

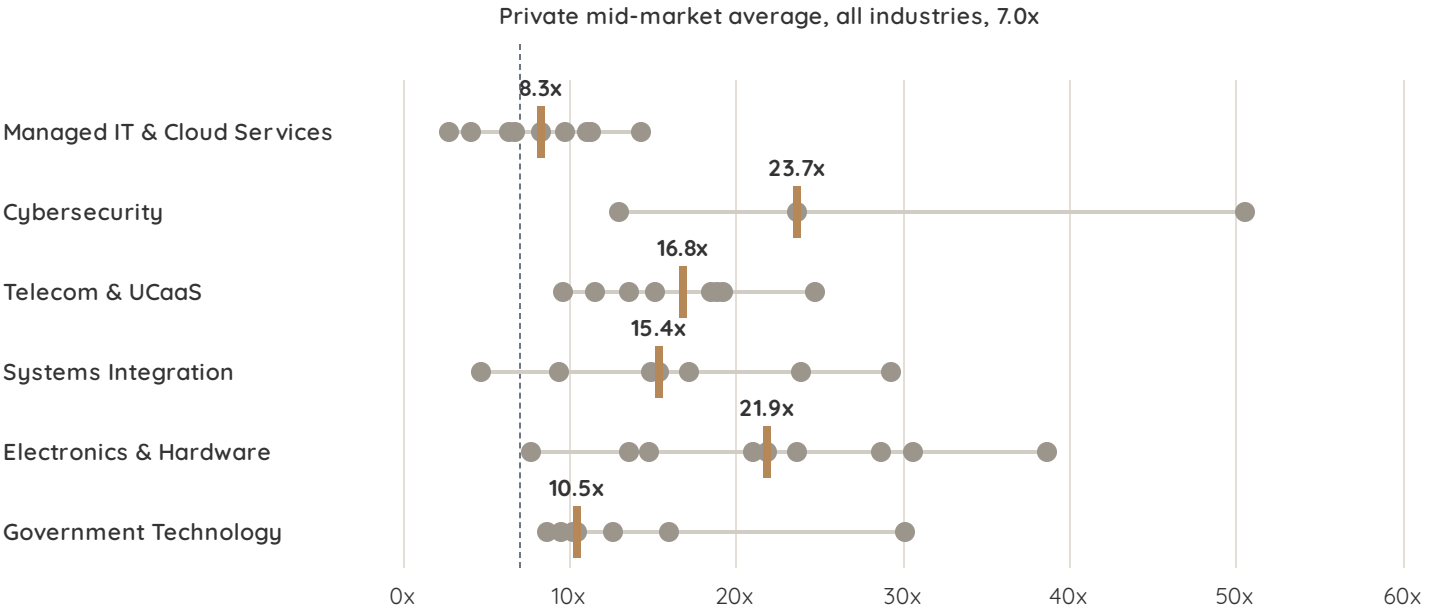
DATE	TARGET (LINKED)	BUYER	DETAIL AND TERMS DISCLOSED
Sep 2026	Athenix Solutions Group	Detroit Defense, backed by Proteus Enterprises and Gladstone Investment	Mission software and engineering for defense and intelligence customers; undisclosed
Sep 2026	Intelligent Waves	B&A, backed by DFW Capital Partners	Cyber, secure communications and tactical edge services; undisclosed
Sep 2026	Capgemini Government Solutions	ITC Federal	Data, AI and digital modernization for federal agencies; undisclosed
Sep 2026	Amivero	Xpect Solutions, backed by NewSpring Holdings	AI and data science for Homeland Security; undisclosed
Aug 2026	Ultra I&C Mission Solutions	Booz Allen	Defense software, encryption and edge computing; $720 million
Feb 2026	Sev1Tech	ERT, backed by Macquarie Capital	IT modernization, cyber and cloud for defense, intelligence and civilian agencies; undisclosed
Jan 2026	Altamira Technologies	Parsons	Signals intelligence, missile warning and cyber; $375 million including a $45 million earnout
Jan 2026	EXPANSIA, JHNA and CTSi	Falfurrias Management Partners	Three firms merged into a defense technology platform of more than 525 people; undisclosed
Oct 2025	SilverEdge Government Solutions	SAIC	Cyber and software; $205 million in cash; seller Godspeed Capital
May 2025	Kudu Dynamics	Leidos	Founder-led cyber and vulnerability research firm; about $300 million in cash

Parsons expects Altamira to produce more than $200 million of revenue in 2026, which places its price at about 1.9 times revenue including the earnout and about 1.65 times on the $330 million paid at closing, a calculation from the figures in the announcement (GovCon Wire). EBITDA multiples were not disclosed in any of these transactions. Buyers pay the most for prime positions on contracts awarded in full and open competition, cleared staff, and software or data rights the company owns, and they discount revenue that depends on a set-aside status the buyer cannot keep.

PUBLIC-MARKET VALUATION REFERENCE

Listed medians run from 8.3x EBITDA for IT services to 21.9x for electronics manufacturers, with security software higher still

Enterprise value to trailing twelve-month EBITDA, listed companies by focus area; each dot is one company and the gold bar marks the median



Public multiples describe companies many times larger than a founder-owned business and are best read as an indication of relative standing among the six focus areas. Electronics manufacturers carry a median of 21.9x on the strength of data center demand, communications and integration companies sit between 15.4x and 16.8x, and government contractors and IT services companies have the lowest medians at 10.5x and 8.3x. The low readings for large IT services firms come as investors weigh how artificial intelligence will change labor-based pricing. Private benchmarks sit below most of these figures. The median US buyout was priced at 12.5x EBITDA in 2025 (PitchBook), completed middle-market transactions in all industries averaged 7.0x in the second quarter of 2026 (GF Data via ACG), and transactions of $5 million to $50 million were priced at 5.8x (IBBA and M&A Source Market Pulse).

Managed IT & Cloud Services: CDW 11.3x; Insight Enterprises 9.7x; ePlus 11.1x; PC Connection 14.3x; Kyndryl 4.1x; DXC Technology 2.9x; Accenture 8.3x; Cognizant 6.8x; EPAM Systems 6.5x

Cybersecurity: Fortinet 50.6x; Qualys 23.7x; Check Point 13.1x

Telecom & UCaaS: RingCentral 18.6x; 8x8 13.6x; Zoom 15.1x; Five9 18.9x; Ooma 24.8x; Crexendo 19.3x; Shenandoah Telecommunications 11.5x; Telephone and Data Systems 9.7x

Systems Integration: Wesco 15.4x; ScanSource 9.4x; Climb Global Solutions 14.9x; Comfort Systems USA 29.3x; EMCOR 17.2x; IES Holdings 24.0x; ADT 4.7x

Electronics & Hardware: Jabil 13.6x; Flex 21.9x; Celestica 28.8x; Sanmina 14.9x; Plexus 23.8x; Benchmark Electronics 21.1x; Kimball Electronics 7.7x; TTM Technologies 30.7x; Keysight 38.7x

Government Technology: Booz Allen Hamilton 9.5x; CACI 16.1x; SAIC 10.5x; Leidos 8.7x; Parsons 12.7x; ICF 10.3x; Tyler Technologies 30.1x

Multiples are enterprise value to trailing EBITDA as published by StockAnalysis and retrieved on October 5, 2026; they use reported EBITDA, which is lower than the adjusted EBITDA companies present. Multiples above 60x are omitted as not meaningful, which removes CrowdStrike, Palo Alto Networks, Zscaler, Okta, Tenable and Bandwidth and leaves three security software companies; those three are a guide to software and say little about the price of a security services firm.

Benchmark International's activity in these focus areas

Benchmark International has closed 13 transactions in these six focus areas over the trailing 24 months and is working on 38 further engagements as of October 1, 2026. Electronics and hardware is the largest group among the closed transactions, with five, followed by systems integration with four. Managed IT and cloud services and systems integration each lead the live engagements, with 11 apiece. Across all six, 19 engagements are on the market, eight are in preparation, eight are in legal documentation and three are in discussion with a buyer.

Operating companies were the buyers in most of the announced transactions. Of the eleven listed below, seven were sold to a company in the seller's own or an adjacent field, including one owned by a private equity firm, and four were sold to investment firms that back founder-owned companies. Benchmark International is ranked the leading privately owned sell-side M&A advisor in the world in PitchBook's Q2 2026 Global League Tables (Benchmark International).

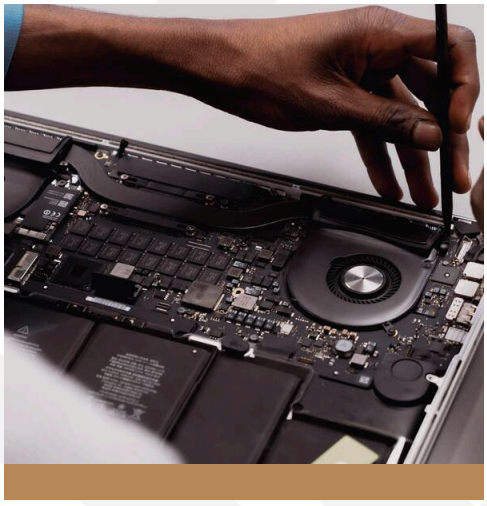
SELLER (LINKED)	BUYER AS ANNOUNCED	WHAT THE SELLER DOES	FOCUS AREA
MartianCraft	Walnut Capital Partners	Software design and development for mobile, Mac and backend systems, Fairfax, Virginia	Managed IT & Cloud Services
EM3 Networks	Capcon Networks	Dedicated leased lit fiber for schools, hospitals and libraries nationwide	Telecom & UCaaS
Clearline Networks	Zeus Fire and Security	Voice and data cabling, audiovisual and security systems in Tennessee and nearby states	Systems Integration
High Tech Solutions - Systems Group	AI Fire	Fire alarm, security, access control and video surveillance systems in Montana and northern Wyoming	Systems Integration
Sheffield Scientific	TRM, a portfolio company of 424 Capital	Asset management consulting, IT upgrades and risk software for power generators	Systems Integration
Paragon Manufacturing	BlueRock Global Private Equity	Build-to-print custom cables, harnesses, electro-mechanical assemblies and box builds	Electronics & Hardware
Boostr	Balius Partners	Indoor and outdoor display assemblies for school and university sports programs	Electronics & Hardware
A.T. Parker (Solar Electronics Company)	Assessimus Group	Test equipment for electromagnetic compatibility laboratories, North Hollywood, California	Electronics & Hardware
Laser Lens Tek (American Photonics)	BlueRock Global Private Equity	Precision optical components and coatings for laser systems, Sarasota, Florida	Electronics & Hardware
Complete Control Services	Amtech Drives	Instrumentation, calibration and controls integration in southern New Jersey	Electronics & Hardware
Invocon	Cemtrex	Instrumentation and wireless sensing for satellites, launch vehicles and missile defense	Government Technology

What buyers reward and what they discount

Across the six focus areas, acquirers pay the most for revenue that recurs under contract and for capability that customers or regulators require, and they discount revenue that depends on one project, one customer or the owner personally. The specifics differ by focus area, and an owner or advisor can test a business against them well before a sale.

FOCUS AREA	BUYERS REWARD	BUYERS DISCOUNT
Managed IT & Cloud Services	A high share of revenue under managed service agreements; security services attached to them; low customer concentration; documented service desk processes	Hardware resale and project revenue; month-to-month agreements; a service desk that depends on the owner; one vendor or one large client
Cybersecurity	Monitoring and response revenue under multi-year contracts; certified and cleared staff; customers in regulated industries; proprietary tools or methods	One-time assessments; resale of licenses at thin margins; dependence on one compliance mandate whose timing can change
Telecom & UCaaS	Owned fiber or long-term network contracts; high take rates; low churn among business and institutional customers; a funded construction plan	Legacy copper and premises-based systems; commission revenue without contract ownership; subsidy-dependent construction without committed customers
Systems Integration	Service, monitoring and managed revenue; technician density in a region; manufacturer certifications; repeat customers	Installation revenue tied to new construction cycles; one general contractor or one manufacturer; fixed-price backlog with thin margins
Electronics & Hardware	Domestic or near-shore capacity; aerospace, defense and medical certifications; engineering content specified by customers; backlog that converts to shipments	One program or one customer; tariff costs that cannot be passed through; aging equipment; commodity assembly work
Government Technology	Prime positions won in full and open competition; cleared staff; owned software and data rights; funded backlog with years remaining	Revenue under a set-aside status the buyer cannot keep; recompetes due within a year; subcontract positions controlled by another prime

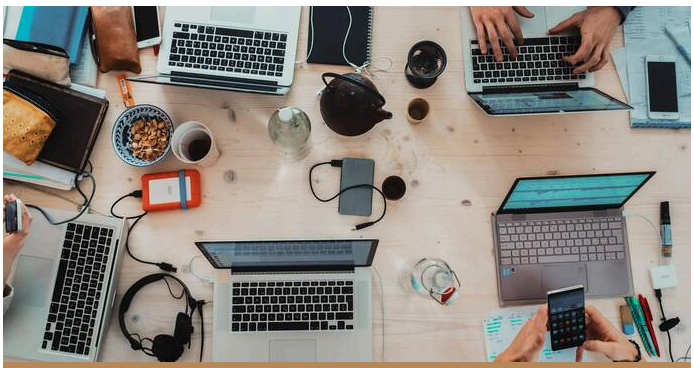
Sellers who prepare early are best placed to benefit from the buyer competition that the survey data show. In the second quarter of 2026, 87% of transactions above $5 million attracted three or more offers, and sales in the lower middle market took 11 to 12 months to close (IBBA and M&A Source Market Pulse). A technology sale also involves checks that sales in other industries do not, because buyers will test contract assignability, software and data ownership, security practices and, for government work, the effect of a change in size status. An owner who expects to sell within three years should therefore have reviewed financial statements, a schedule of recurring revenue by contract and renewal date, and a second layer of management in place before the first buyer conversation.



BENCHMARK INTERNATIONAL MIDDLE MARKET

Considering a transaction in the technology sector?

Our first step is always a confidential conversation exploring your goals, your company and your options.





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Sources

Every figure in this report is linked where it appears. The same sources are listed here by section, with the link text used in the report.

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VALUATION, BENCHMARK INTERNATIONAL AND SELLER PREPARATION

StockAnalysis; PitchBook; GF Data via ACG; IBBA and M&A Source Market Pulse; Benchmark International; IBBA and M&A Source Market Pulse

BENCHMARK INTERNATIONAL

Transaction records and the engagement portfolio as of October 1, 2026; announced transactions as published at benchmarkintl.com/insights and linked in the table on page 18; listed-company multiples from StockAnalysis, each linked on page 17

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